

THE SESSION • POST-CLOSE READ

Silicon Leads the Rebound

A memory-led semiconductor recovery carried the S&P 500 +0.86% and powered the Growth Portfolio to +2.87%, better than doubling IUSG. Defensives funded the move, leaving the Dividend Strategy fractionally lower at -0.17% as Brent reclaimed five-week highs on renewed Gulf supply risk.

S&P 500 ▲ 0.86%

NASDAQ ▲ 1.26%

DOW ▲ 0.74%

VIX 16.91

BRENT ▲ \$90.90

DIVIDEND STRATEGY

▼ TRAILED DVY & SPY

-0.17%

1-DAY

FCI		-0.17%
DVY		+0.06%
SPY		+0.82%

YTD +16.33% vs DVY +15.83% • SPY +10.31%

GROWTH PORTFOLIO

▲ BEAT IUSG

+2.87%

1-DAY

FCI		+2.87%
IUSG		+1.28%

YTD +17.32% vs IUSG +11.27%

THE SESSION

The tentative chip-cohort bounce the morning could only sketch resolved, by the close, into a broad advance — and the portfolio's growth sleeve captured it in full.

After last week carried the semiconductor complex into a bear market on doubts about the durability of AI spending, Monday steadied the group and Tuesday confirmed it: a Morgan Stanley call that data-center demand will keep memory pricing firm sent memory names higher, and the broader chip complex carried the tape from there. The S&P 500 added 0.86% to 7,507, the Nasdaq 1.26%, and the Russell 2000 1.53% — leadership from the highest-beta corner of the market rather than its defensive core. The VIX fell better than nine percent to 16.91, the clearest sign that last week's growth scare has, for now, drained away.

For our books, the session was a study in dispersion. The Growth Portfolio gained 2.87%, better than doubling IUSG's 1.28%, as the merchant-silicon and AI-infrastructure names we own did the heavy lifting — AMD (+8.11%), Marvell (+6.68%), Taiwan Semiconductor (+5.55%), Credo (+5.56%) and, on the value side, Lam Research (+4.97%). The Dividend Strategy, by contrast, slipped 0.17% as the staples and quality-compounder names that anchor it — S&P Global (-3.81%), ADP (-3.53%), Church & Dwight and Colgate — funded the rotation into risk. It was the mirror image of a defensive day, and a reminder that a portfolio built to own both halves of the market rarely has both working at once.

A single risk-on session is the market testing a thesis, not settling it — and the real read still runs through this week's megacap prints. The tactical framework calls for no action here, and the day's rotation is noise around businesses that keep compounding. We stay owners of the whole portfolio.

Beneath the equity bid, the geopolitical file moved the other way. The post-Hormuz Paradigm morning's hope for a ten-day Hormuz ceasefire faded as Iran declared the framework collapsed, U.S. forces completed a tenth consecutive night of strikes, and Yemen's Houthis declared a blockade on Saudi-linked shipping — sending at least two Saudi crude tankers into U-turns in the Red Sea. Brent reclaimed \$90.90, up roughly 1.9% and its highest in five weeks. Our upstream names took it in stride rather than in celebration: Chevron added 0.72% and CNX 3.00%, while ONEOK eased 1.85%. The digital-asset ETFs firmed with the risk bid (IBIT +2.11%, ETHA +1.40%) as bitcoin advanced toward \$66,400. The Fed's pre-meeting blackout continues into the July 28–29 decision, leaving the earnings gauntlet and the Iran cadence to set the tone.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

AMD +8.11% GROWTH
Advanced Micro Devices led the AI-chip advance as memory names climbed on a Morgan Stanley call that data-center demand will keep memory pricing firm; AMD entered the day up roughly 135% year-to-date.

HUT +7.98% GROWTH
Hut 8 extended its run with the miner-to-AI-infrastructure cohort as bitcoin held above \$66,000 and risk appetite returned to the market's highest-beta corner.

HOOD +7.13% GROWTH
Robinhood advanced with the risk-on tape amid continued momentum around its crypto build-out and stablecoin ambitions tied to the CLARITY Act framework.

DECLINERS

SPGI -3.81% DIVIDEND
S&P Global gave back on a risk-on session, extending a derating that has run much of the year as capital rotated toward cyclical and semiconductor risk.

ADP -3.53% DIVIDEND
Automatic Data Processing slipped with the defensive-compounder complex; steady-growth names funded the move into higher-beta corners.

GPC -2.68% DIVIDEND
Genuine Parts eased despite a Q2 beat and reaffirmed guidance, a sell-the-news reaction as defensives rotated out (see Holdings News).

MRVL +6.68% GROWTH
Marvell rose with the merchant-silicon complex as U.S. chips echoed the overnight strength in Asian semiconductors and the SOX recovered from last week's decline.

LRCX +4.97% DIVIDEND
Lam Research was the Dividend Strategy's standout, riding the semiconductor-equipment bid as memory-capex optimism lifted the group.

CEG +3.44% DIVIDEND
Constellation Energy gained with the power-and-AI-electricity theme, a reminder that the data-center build-out reaches well beyond the chipmakers.

NOW -2.52% GROWTH
ServiceNow gave back ahead of a heavy megacap-earnings week as the high-beta bid concentrated in semiconductors rather than software.

OKE -1.85% GROWTH
ONEOK eased as midstream lagged a crude-focused energy bid, even with Brent reclaiming five-week highs.

SYF -1.63% GROWTH
Synchrony slipped with consumer-finance names in a session led by AI and semiconductor exposure.

HOLDINGS NEWS

Genuine Parts (GPC) beat and reaffirmed. Q2 revenue rose 6% year-over-year to \$6.54 billion, above the \$6.43 billion consensus, and adjusted EPS of \$2.15 topped the \$2.08 estimate. Management reaffirmed full-year adjusted-EPS guidance of \$7.50 to \$8.00 and reiterated that its planned separation into two public companies remains on track for the first quarter of 2027. The shares still eased on the day as risk appetite favored cyclical over the defensive book.

NVIDIA (NVDA) took a stake in Nebius. NVIDIA rose nearly 2% after disclosing an investment in neocloud provider Nebius, extending its practice of seeding the AI-infrastructure ecosystem it supplies and reinforcing the capital-recycling dynamic that has kept merchant silicon central to the market's leadership.

DIVIDEND STRATEGY

+16.33%

vs DVY +15.83% / SPY +10.31%

GROWTH PORTFOLIO

+17.32%

vs IUSG +11.27%